A hike on script: five headlines from the decision to Friday

Five moments in time order, from the 14:15 CET decision on Thursday to Friday 11 September. Written before the US CPI release at 14:30 CET on Friday, using only what was public by then. Each card ends with the public source it rests on.

DEPOSIT RATE
2.50%
+25bp, from 16 Sep

2027 HICP PROJECTION
2.5%
June: 2.3%

EUR/USD, ECB RATE
1.1592
-0.21% vs 10 Sep

THU 10 SEP · 14:15 CET

ECB raises its three key rates by 25 basis points

The Governing Council lifted the deposit facility rate to 2.50%, the main refinancing rate to 2.65% and the marginal lending rate to 2.90%, effective 16 September. The release repeats the June guidance: data dependent, meeting by meeting, and "not pre-committing to a particular rate path".

WHY IT MATTERS A 25bp move with the guidance sentence unchanged is the middle column of Monday's thresholds (scenario C), the base case the morning brief carried into the day. On the rate and the wording alone, the decision gave the euro no surprise, so the projections and the press conference had to carry the news.

SOURCE ECB, monetary policy decisions, 10 Sep 2026. https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.mp260910~314e508016.en.html

THU 10 SEP · 14:15 CET, WITH THE DECISION

New projections lift 2027 inflation to 2.5% and growth to 1.4%

Headline HICP is projected at 3.0% in 2026 (unchanged), 2.5% in 2027 (June: 2.3%) and 2.1% in 2028; excluding energy and food it is 2.5%, 2.6% and 2.3%. Growth is 0.9% in 2026 (June: 0.8%), 1.4% in 2027 (1.2%) and 1.5% in 2028, which the ECB puts down to the economy's resilience. Headline inflation is expected back near target towards the end of 2027.

WHY IT MATTERS Against Monday's thresholds, 2027 headline HICP at 2.5% and the 0.2 point GDP upgrade for 2027 both fall in the stronger-euro column; 2027 core at 2.6% sits in between. With 25bp and unchanged wording, two rows in the same outer column call the scenario, so by the thresholds the projections read as A. The morning brief had named this channel: higher energy prices pushing the 2027 headline risk upward.

SOURCE ECB, monetary policy decisions and press conference statement, 10 Sep 2026 (links in the sources list); June figures from the ECB release of 11 Jun 2026. https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.mp260611~4d41bd5e83.en.html

THU 10 SEP · 14:45 CET, PRESS CONFERENCE

Lagarde calls the decision a no-brainer and offers no rate path

Lagarde said the decision was unanimous and "a no-brainer", and that the Council had not debated any future path. Asked about the neutral rate she called it highly conceptual and said the ECB attaches little weight to it in current circumstances. A journalist's premise that markets priced almost three hikes in total drew no comment on the pricing: she said markets do their job and the ECB does its own.

WHY IT MATTERS No new guidance means no hawkish hint beyond the projections. The market-pricing question was in neither of Monday's scenarios, which set thresholds only for the decision, the guidance wording and the projections.

SOURCE ECB, press conference, Berlin, 10 Sep 2026 (statement and Q&A). https://www.ecb.europa.eu/press/press_conference/monetary-policy-statement/2026/html/ecb.is260910~6a45359cfc.en.html

FRI 11 SEP · MORNING

Bundesbank's Nagel: rates are near the top of neutral, more is possible

In an interview with CNBC on Friday, Bundesbank President Joachim Nagel said the ECB's rates now sit at the upper end of the neutral range and that he cannot rule out moving into mildly restrictive territory. He tied further steps to how energy prices develop over roughly the next month.

WHY IT MATTERS A Governing Council member leaving the door open to a restrictive stance goes further than the Thursday guidance sentence did, and Monday's scenarios stopped at the decision. It also puts oil back at the centre: Brent spot was $109.51 on 9 September in the morning brief, 22% above its 28 August level.

SOURCE CNBC, interview with Joachim Nagel, 11 Sep 2026. https://www.cnbc.com/2026/09/11/ecb-nagel-energy-prices-further-interest-rate-hikes.html

FRI 11 SEP · 14:15 CET, AHEAD OF THE 14:30 CET US CPI

The euro is little changed and the market turns to US CPI

The ECB reference rate for the euro was 1.1592 dollars on Friday against 1.1616 on Thursday, a fall of 0.21%. Thursday's rate was set around the time of the decision, so Friday's is the first that includes the reaction. US August consumer prices follow at 08:30 ET (14:30 CET); July CPI rose 0.1% m/m and 3.4% y/y, with core up 0.2% m/m and 2.5% y/y.

WHY IT MATTERS The projections read as scenario A, yet the euro stands a little lower on the first comparable print. Monday's week-ahead warned that a quiet euro on Thursday could still move on Friday for reasons that have nothing to do with the ECB, and set the CPI marks: core above 0.2% m/m, or headline above 3.4% y/y, would read as firmer. The daily reference rate shows no intraday path.

SOURCE ECB euro reference rates, USD. https://www.ecb.europa.eu/stats/policy_and_exchange_rates/euro_reference_exchange_rates/html/eurofxref-graph-usd.en.html ; BLS release calendar, Sep 2026. https://www.bls.gov/schedule/2026/09_sched.htm ; BLS, CPI July 2026. https://www.bls.gov/news.release/archives/cpi_08122026.htm

LIMIT: Nagel's Friday comments are taken from a media interview; I found no ECB or Bundesbank text of them. ECB pricing rests on Nagel's 2 September statement on the Bundesbank site (more than 95%), not a market data series, and the reference rate is one fixing a day.

THREAD: How would you sum up the day for a client in one email? Next: the evening recap.

SOURCES (ACCESSED 21 OCT 2026; NOTHING PUBLISHED AFTER 11 SEP 2026 USED)

1. ECB, monetary policy decisions, 10 Sep 2026 (rates, effective date, guidance, projections). https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.mp260910~314e508016.en.html
2. ECB, press conference, Berlin, 10 Sep 2026 (statement, projections, Q&A). https://www.ecb.europa.eu/press/press_conference/monetary-policy-statement/2026/html/ecb.is260910~6a45359cfc.en.html
3. ECB, monetary policy decisions, 11 Jun 2026 (June projections, guidance). https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.mp260611~4d41bd5e83.en.html
4. ECB, press release of 27 Jun 2022 (decisions published at 14:15 CET). https://www.ecb.europa.eu/press/pr/date/2022/html/ecb.pr220627~73acedf868.en.html
5. ECB, euro reference rates, US dollar (10 Sep 1.1616; 11 Sep 1.1592). https://www.ecb.europa.eu/stats/policy_and_exchange_rates/euro_reference_exchange_rates/html/eurofxref-graph-usd.en.html
6. CNBC, interview with Bundesbank President Joachim Nagel, 11 Sep 2026. https://www.cnbc.com/2026/09/11/ecb-nagel-energy-prices-further-interest-rate-hikes.html
7. BLS, release calendar, September 2026 (CPI Fri 11 Sep, 08:30 ET). https://www.bls.gov/schedule/2026/09_sched.htm
8. BLS, Consumer Price Index, July 2026, released 12 Aug 2026. https://www.bls.gov/news.release/archives/cpi_08122026.htm
9. Earlier documents: week-ahead scenarios (Mon 7 Sep) and morning brief (Thu 10 Sep), which supply the thresholds and the oil and yield levels used above (FRED, Brent spot, 9 Sep).
10. Deutsche Bundesbank, interview with Joachim Nagel in Le Monde, 2 Sep 2026 (market pricing of a September hike). https://www.bundesbank.de/en/press/interviews/-rising-interest-rates-in-the-financial-markets-are-complicating-the-ecb-s-situation--1007256

Independent portfolio project built from public data. Not investment advice.